

1-1c Role of Accounting in Business

The role of accounting in business is to provide information for managers to use in operating the business. In addition, accounting provides information to other users in assessing the economic performance and condition of the business.

Note

Accounting is an information system that provides reports to users about the economic activities and condition of a business.

Thus,

accounting ([An information system that provides reports to stakeholders about the economic activities and condition of a business.](#))

can be defined as an information system that provides reports to users about the economic activities and condition of a business. You could think of accounting as the “language of business.” This is because accounting is the means by which businesses’ financial information is communicated to users.

Link to Twitter

Twitter communicates to investors in an annual report that includes accounting information.

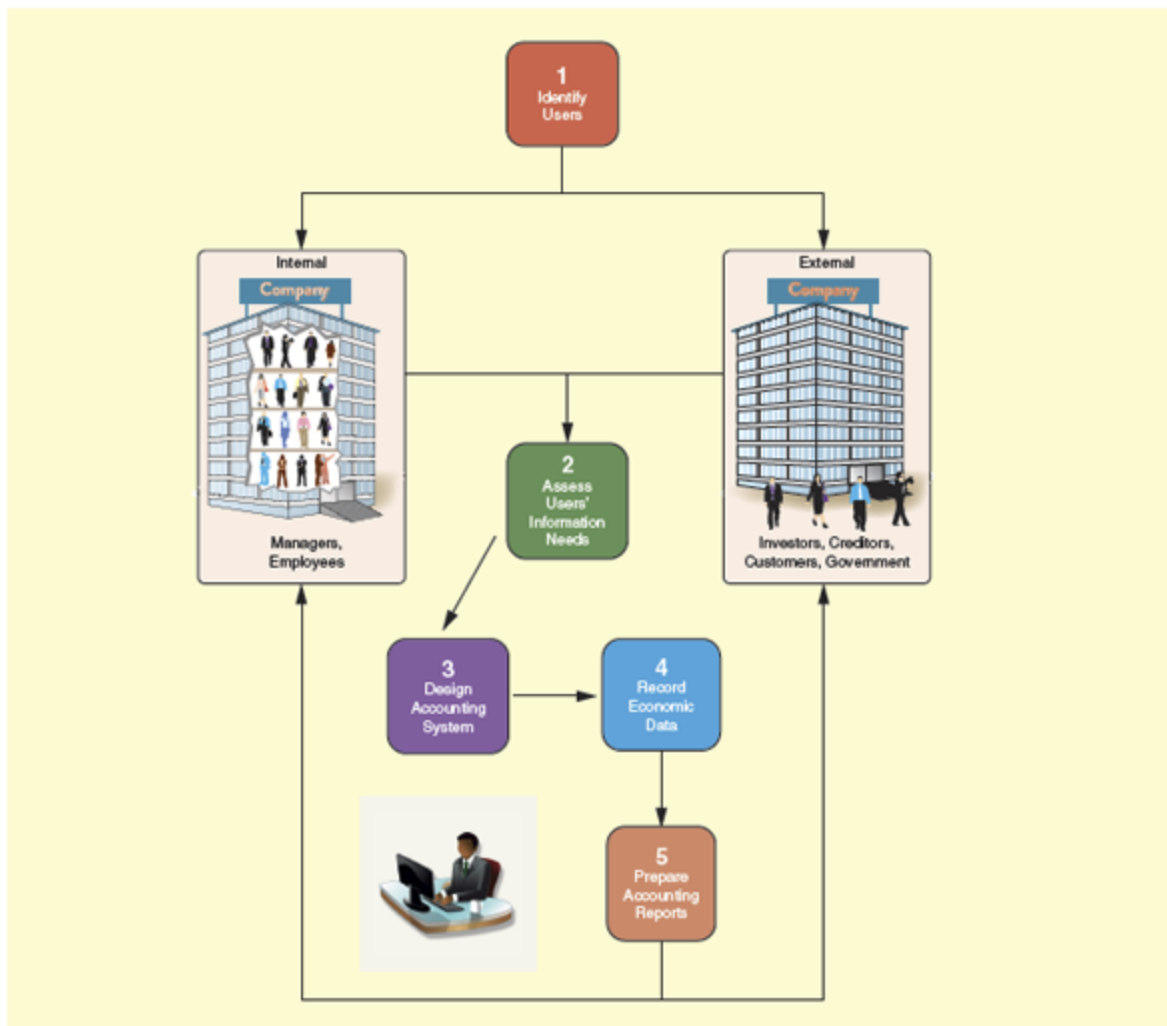
The process by which accounting provides information to users is as follows:

1. Identify users.
2. Assess users’ information needs.
3. Design the accounting information system to meet users’ needs.
4. Record economic data about business activities and events.
5. Prepare accounting reports for users.

As illustrated in [Exhibit 2](#), users of accounting information can be divided into two groups: internal users and external users.

Exhibit 2

Accounting as an Information System



Managerial Accounting

Internal users of accounting information include managers and employees. These users are directly involved in managing and operating the business. The area of accounting that provides internal users with information is called

managerial accounting (The branch of accounting that uses both historical and estimated data in providing information that management uses in conducting daily operations, in planning future operations, and in developing overall business strategies.)

, or

management accounting (The branch of accounting that uses both historical and estimated data in providing information that management uses in conducting daily operations, in planning future operations, and in developing overall business strategies.)

The objective of managerial accounting is to provide relevant and timely information for managers' and employees' decision-making needs. Often, such information is sensitive and is not distributed outside the business. Examples of sensitive information might include information about customers, prices, and plans to expand the business. Managerial accountants employed by a business are employed in

private accounting (The field of accounting whereby accountants are employed by a business firm or a not-for-profit organization.)

Financial Accounting

External users of accounting information include investors, creditors, customers, and the government. These users are not directly involved in managing and operating the business.

The area of accounting that provides external users with information is called

financial accounting (The branch of accounting that is concerned with recording transactions using generally accepted accounting principles (GAAP) for a business or other economic unit and with a periodic preparation of various statements from such records.)

The objective of financial accounting is to provide relevant and timely information for the decision-making needs of users outside of the business. For example, financial reports on the operations and condition of the business are useful for banks and other creditors in deciding whether to lend money to the business.

General-purpose financial statements (A type of financial accounting report that is distributed to external users. The term “general purpose” refers to the wide range of decision-making needs that the reports are designed to serve.)

are one type of financial accounting report that is distributed to external users. The term *general-purpose* refers to the wide range of decision-making needs that these reports are designed to serve. Later in this chapter, general-purpose financial statements are described and illustrated.

Link to Twitter

Twitter uses financial accounting to prepare and distribute general-purpose financial statements.